the years when the bar in Figure 2-1 is below 0 percent. During these years, money invested in T-bills buys fewer goods and services than it did one year earlier.

Taxes are a big drag on T-bill returns. The "risk-free" T-bill return can easily be negative after adjusting for inflation and the amount the government reclaims in federal income taxes. For example, the nominal T-bill return in 2007 was 4.7 percent. The after-tax return was 3.5 percent, assuming that an investor pays 25 percent income tax. However, inflation was 4.1 percent that year, meaning that investors who owned T-bills lost 0.6 percent in purchasing power. The loss would have been greater for investors in higher-income tax brackets.

FIGURE 2-1

Annual Treasury Bill Returns after Taxes and Inflation

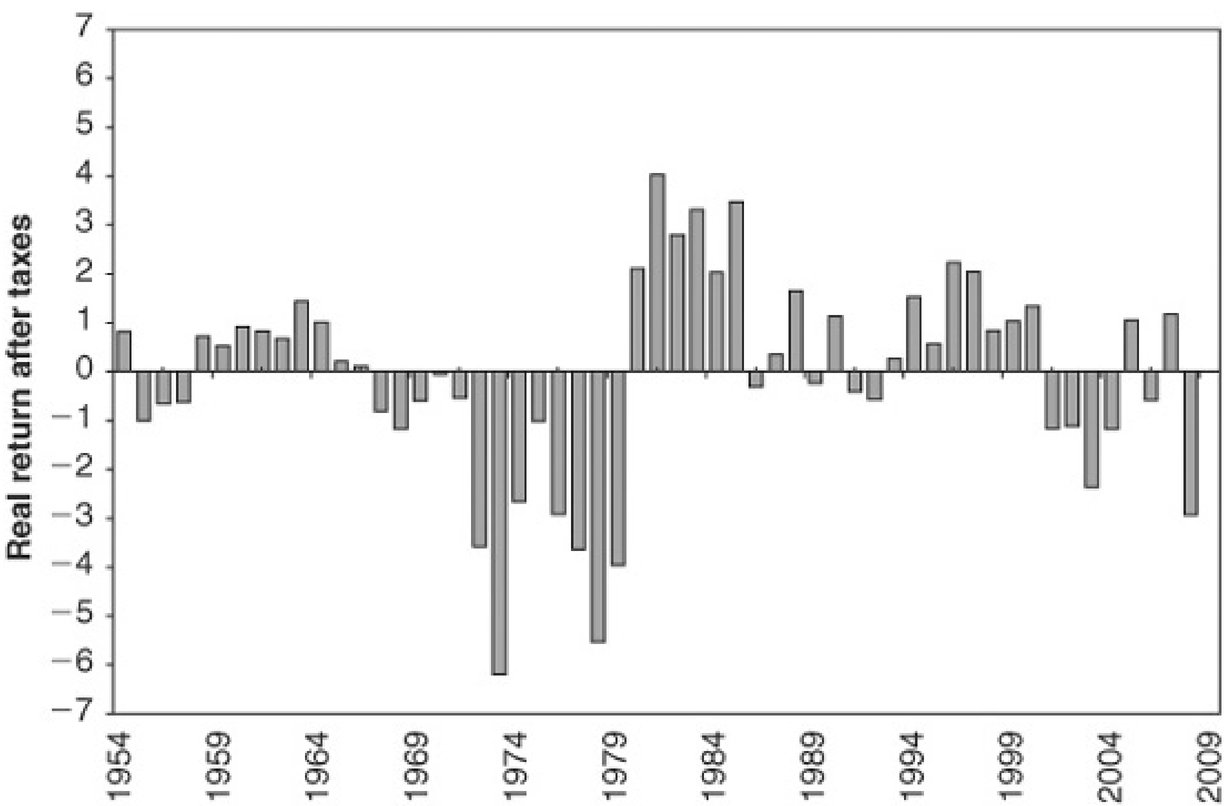

Figure 2-2 illustrates the compounded after-tax and after-inflation return of $100 that was continually reinvested in 30-day Treasury bills since 1955. The chart assumes that 25 percent federal income tax was paid each year on the return. The lowest point on Figure 2-2 was in 1980. The value of the $100 starting amount had dropped to $75.26. It took it 21 years to recover,